

ter because... their interest rates are not so low now. In relative terms, India's debt dynamics look very healthy [when] compared to many of the countries of similar economic size. Of course, the rating agencies say that we rate by peer groups, but this peer group seems to be rather arbitrarily determined. We have not done anything with an eye on the rating agencies; we have done it because we believe that it is in the best interests of India's economy to keep the fiscal deficit and debt under check. If that is a matter for ratings upgrade, that is for the rating agencies to decide, but I am not expecting anything from it.

Q: How far will the projections between the Interim and full Budget change?

A: I cannot speak for a new government that will be formed in June... which government it will be is a matter for the electorate to decide. But I would say that the fiscal projections we have made are realistic and credible and they are based on the current set of policies, the data, and the information that we have. They are

Q: What kind of reforms would you like to see post the General Elections?

A: I should not pre-empt what the regular Budget may say. You heard the Finance Minister say that some road maps will be laid out. It would be not proper to predict what may come in the regular Budget.

Q: The Interim Budget also spoke about the eastern states and their development. How do you see this taking place?

A: We have an Aspirational Districts programme, where we have a special focus of both development activity and development expenditure on these districts. [And] 60% of the aspirational districts are located in eastern India. This is an illustration of the focus that the government is giving to the East in its social programmes and in its economic development programmes for the poor, and for the vulnerable sections. This is one part. Second, government capital investments from the public sector, in the form of new fertiliser plants [and] new gas pipelines are also con-

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credible projections, and in all probability, they should continue into the regular Budget—at least the fiscal figures. I can't speak about policy changes. Any moderate policy changes also may not lead to much change in the fiscal estimates. But if there are major policy changes, I cannot predict them. Otherwise, we have presented the figures that we would have presented if this was a regular budget.

Q: The Interim Budget spoke about the next-generation reforms by states. What should these be?

A: We are still working on the details. Every year for the last three years, we have had one component of the interest-free loans tied to reforms. And the components have been [things] such as urban reforms, sometimes connected to electricity sector reforms. We are working on the right mix, and it will get eventually clarified when the guidelines are issued. This year, it is probable that for the conditional loans, the guidelines will come out in the first quarter of the next financial year.

centrated considerably in the eastern sector. So, these are some of the initiatives. And beyond this, the government's mineral policy reforms, which were undertaken in the last five to seven years, have resulted in a huge increase in revenues in some of the eastern states, particularly Odisha and Jharkhand. The new mineral regulations have given an impetus to development in the East through much enhanced state revenue. We are seeing this impact in some of those states. In Odisha, in particular, there is a huge expansion of capital investment and other development activities funded by their own enhanced mineral revenues.

Q: Are you concerned about the rural economy given that the monsoon distribution last year was sketchy and there are worries about the rabi output? How far are the Interim Budget projections dependent on a good monsoon this fiscal?

A: I wouldn't say there's any direct link between the [Interim] Budget projections and the monsoons. If the